AUDIT ACT, 2075 (2019)

KEY DATES

Date of Authentication and Publication:
15 CHAITRA 2075
(29 March 2019)

ACT DETAILS

Act No. 36 of 2075
(2019)

PURPOSE (PREAMBLE)

An Act Made to Provide for Audit. Whereas, it is expedient to make timely the law relating to audit.

Enacted by the Federal Parliament

DEFINITIONS FROM THE ACT: Section 2

(a) "Prescribed" or "as prescribed"



means prescribed or as prescribed in the rules framed under this Act

(b) Corporate body wholly owned by the Government of Nepal, Provincial Government or Local Level



means a corporate body of which all shares or assets are owned by the Government of Nepal, Provincial Government or Local Level or a corporate body of which all shares or assets are owned by the aforesaid corporate body or by such a corporate body and the Government of Nepal, Provincial Government or Local Level, and this term also includes a corporate body for which the Government of Nepal, Provincial Government or Local Level is required to bear full responsibility.

(c) Accounts



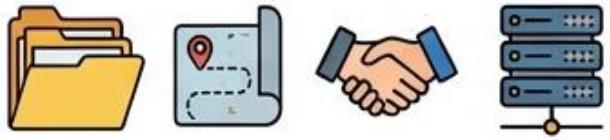
means any records, ledgers, books or other papers to be maintained under the prevailing law, showing the statements of financial transactions, and this term also includes any records maintained through electronic means or electronic records substantiating such transactions

(d) Audit



means examination of the accounts and accounts related to the business of the bodies referred to in Section 3 and the analysis and evaluation to be made on the basis thereof, and this term also includes an act of follow-up audit

(e) Accounts related documents



means such documents as may be required to perform the audit of the bodies referred to in sub-section (1) of Section 3, and this term also includes strategies, annual or periodic plans, plans of action, decisions, agreement or understandings, progress reports, monitoring and evaluation reports of such bodies and such other documents or statements, data or information stored in the electronic system as may be related to the act of audit.

(f) Corporate body



means a corporate body of which more than fifty percent of the shares or assets are owned by the Government of Nepal, Provincial Government or Local Level, and this term also includes a body whose more than fifty percent of shares or assets are owned by such corporate body

(g) Government Office



means any government office at the federal, provincial and local levels, including the Office of the President, Office of the Vice-President, Supreme Court, Federal Parliament, Provincial Assembly, Provincial Government, Office of the Chief of Province, Constitutional Body or Office thereof, court, Office of the Attorney General, Nepal Army, Nepal Police and Armed Police Force, Nepal

SUMMARY — SECTIONS 3 TO 6

3. BODIES TO BE AUDITED BY THE AUDITOR GENERAL

The Auditor General shall audit:



- Government offices;
- Corporate bodies wholly (100%) owned by GoN, Province or Local Level



- Other bodies/institutions whose audit is assigned to the Auditor General by Federal law.

Responsible officials must submit income/expenditure accounts and financial statements as required by law and have their final audit conducted by the Auditor General.



4. METHODS OF AUDIT

Auditor General may determine the:



- Method
- Scope
- Period of audit.

May conduct final audits:



- In detail, unit-by-unit; or
- Selectively/randomly/sporadically.



May record findings, analyse and comment on them.

May issue audit reports, including an opinion on financial statements where required.



5. AUDIT OF FINANCIAL & OTHER MATTERS

In addition to financial audits, the Auditor General may selectively audit:



- Information technology
- Performance/functioning
- Gender
- Forensic matters
- Other relevant matters.

Environment

Audits may assess regularity, economy, efficiency, effectiveness and propriety.



Auditor General determines the mode, method, scope, period, examination matters and reporting procedure.

6. TIMELY AUDIT

Auditor General may conduct audits before the end of the fiscal year or after completion of transactions, on a selective basis.



Auditor General determines the method, scope, period, matters examined and reporting process.

Audit report must be:



- Sent to the concerned body; and
- Made public.

AUDITOR GENERAL – SECTIONS 7 & 8

AUDIT OF GRANT AND AID & MATTERS TO BE AUDITED



SECTION 7

AUDIT OF GRANT AND AID

What Can Be Audited?

- Aid and grant amounts receivable by the Government of Nepal, Provincial Government or Local Level under the law.
- Aid and grant amounts to be provided by the Government of Nepal, Provincial Government or Local Level.

How It Is Conducted?

The mode, method, scope, period, matters of examination and reports thereof shall be as specified by the Auditor General.



Purpose: To ensure proper utilization, accountability and transparency in the receipt and use of grants and aid.

SECTION 8

MATTERS TO BE AUDITED

The Auditor General shall audit the following matters, having regard to regularity, economy, efficiency, effectiveness and propriety, as required:

(a) Appropriation & Expenditure
Whether expenditure is within approved heads, sub-heads and for the specified purpose.

(b) Accounts & Reporting
Proper maintenance of accounts in prescribed forms and timely reporting.

(c) Central Accounting
Whether central accounting and statements are prepared and truly reflect financial transactions.

(d) Funds Accounting
Whether accounting of Consolidated Funds, Contingent Funds and other government funds is accurate and realistic.

(e) Budget Sanction
Whether budget is sanctioned in time.

(f) Financial Statements
Whether financial statements truly and correctly reflect the financial transactions.

(g) Evidence
Whether evidence relating to items of income or expenditure is sufficient.

(h) Physical Progress
Whether physical progress matches accounting or reporting.

(i) Approval for Expenditure
Whether approval of competent authority for expenditure is obtained.

(k) Liability Payment
Whether liability created is paid in time.

(l) Resource Utilization
Whether available resources, means and assets (cash and in-kind) are properly utilized.

(m) Government Properties
Whether records, protection and maintenance of government properties are proper.

(n) Debts & Investments
Whether accounts of debts, investments, principal, interest and dividends are adequately maintained.

(p) Legal & Control Provisions
Whether legal provisions to prevent misuse and control mechanisms are adequate and complied with.

(q) Internal Control System
Whether effective internal control system exists and is followed.

(r) Internal Audit
Whether internal audit is performed satisfactorily and recommendations implemented.

(s) Revenue & Funds
Whether revenues and funds are assessed, recovered, credited and accounted for as per law and leakage is controlled.

(t) Deposits
Whether deposit laws are adequate and complied with.

(u) Industrial & Business Services
Whether accounts, cash and in-kind balance, and relevant laws/provisions are adequate and complied with.

(v) Organization & Management
Whether organization, management and allocation of work are sufficient and proper.

(w) Duplication/Omission of Functions
Whether unnecessary duplication or omission of required functions exists and whether timely office business is ensured.

(x) Program Achievements
Whether achievements are clearly defined, progress on time and quality/quantity meet standards.

(y) Objective, Policy & Planning
Whether objectives and policies are clear, and plans, budgets and programs are formulated and implemented accordingly.

(z) Cost & Returns
Whether programs are within approved cost, cost analyzed and returns achieved in comparison to cost.

(aa) Records of Targets, Progress & Cost
Whether records of target, progress and cost are adequate and reliable.

(bb) Monitoring
Whether monitoring as per law is done and reports implemented.

(cc) IT Based Systems
Whether efforts made to make financial transactions, records and reporting IT based.

(dd) Inter-Governmental Funds
Whether revenue, grant and royalty shared among Federal, Provincial and Local Levels are utilized effectively.

(ee) Reimbursements
Whether reimbursements are taken in time.

(ff) Irregular Amounts & Settlement
Whether records of irregular amounts are updated and efforts made to settle irregularities.

Overall Objective:
To ensure sound financial management, accountability, transparency, and achievement of results in the use of public resources.

SUMMARY — SECTIONS 9 to 11

9. Audit on the Basis of Propriety



- Auditor General may audit whether public expenditure and financial decisions are proper, reasonable and in the public interest.



- Specifically examines:
  Expenditure that, although authorised, is unreasonable or causes loss/damage to national property.



- Grants, leases, permits, licences, mining/forest/hydropower rights and other authorisations involving national property or government revenue.



- Financial transactions relating to contracts, agreements, public works, repairs, procurement, consultancy, service delivery, public expenditure and revenue mobilisation.



- May examine whether responsible officials have properly borne financial accountability, based on recognised accounting principles.



- Minor or insignificant irregularities need not be included in the audit report.



10. Audit of Wholly Government-Owned Corporate Bodies



- Auditor General may appoint licensed auditors as assistants to audit corporations wholly owned by Federal, Provincial or Local Government.



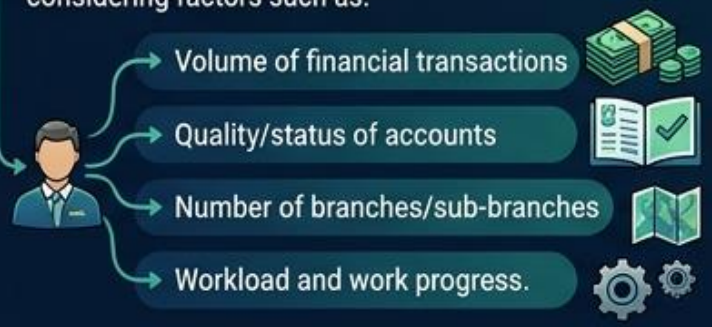
- Appointed auditors work under the direction, control and supervision of the Auditor General.



- Their duties, powers, service conditions, audit procedures and reporting requirements are governed by the Act and directions of the Auditor General.



- Auditor General determines their remuneration, considering factors such as:



11. Audit of Corporate Bodies



- Corporate bodies may appoint auditors and have their accounts audited according to principles specified by the Auditor General.



- The corporation must consult the Auditor General before appointing the auditor.



- A copy of the auditor's report must be submitted to the Office of the Auditor General.



- If errors are identified, the Auditor General may issue necessary directives to the corporation and auditor, which must be followed.



- The corporation must submit implementation/progress details within the specified period regarding reported issues and directives.



SUMMARY — SECTIONS 12 TO 15

12. POWER TO EXAMINE & OBTAIN DOCUMENTS



- Auditor General may, at any time, require responsible officials of auditable bodies to:
  - Submit accounting-related documents; and
  - Provide necessary information/explanations.

May examine accounts and documents of **government-funded programmes and projects.**

May require contractors, suppliers, institutions or responsible persons to submit documents relating to:
- Government contracts and works;
- Supplies;
- Revenue assessment and collection.

May obtain documents relating to the operations of:
- Bodies partly owned by Federal, Provincial or Local Government; and
- National or international NGOs.

Has access to relevant information technology systems used for transactions, accounting, record management and information dissemination.

13. POWER TO COLLECT AUDIT FEES

- Auditor General may collect **prescribed audit fees** from **wholly government-owned corporate bodies.**
- Fees collected are deposited into the **Federal Consolidated Fund.**

14. REVIEW OF AUDIT

- Auditor General may conduct periodic:
  - **Quality assurance reviews**; and
  - **Peer professional reviews** to ensure audit quality.

STOP

No other person or body may conduct an audit review except as permitted under the Act.

15. POWER TO OBTAIN EXPERT SERVICES



- Auditor General may **obtain services of specialised experts** where required.
- May request **deputation of experts or officials** from Federal, Provincial or Local Government bodies.
- The concerned body must depute the requested expert/official.
- Experts and deputed officials **receive remuneration and facilities as** determined by the Auditor General.

SUMMARY — SECTIONS 16 TO 19

16. PROTECTION FOR ACTS DONE IN GOOD FAITH



- Employees of the Office of the Auditor General are not personally liable for damage or errors resulting from audits performed:



- In good faith;
- In the course of their official duties; and
- In accordance with the Auditor General's standards, policies, directions, directives and audit plan.

17. ELECTRONIC MAINTENANCE OF RECORDS



- Auditor General may maintain audit files, working papers and other audit documents electronically.

18. OFFICE OF THE AUDITOR GENERAL

- Auditor General may establish offices at the Federal and Provincial levels as necessary.
- Employees deputed to such offices work under the direction of the Auditor General.
- The organisational structure and employee positions are approved by the Government of Nepal on the recommendation of the Auditor General.

19. ANNUAL & SPECIAL AUDIT REPORTS

- Annual report submitted to the President under Article 294 of the Constitution includes:
  - Functions performed during the year;
  - Summary of major audit findings;
  - Status of implementation of audit reports and future reforms;
  - Other necessary matters.
- Auditor General may issue audit reports with audit opinions after completing audits.
- May also issue specialised reports on:





- May prepare a separate annual report for each Province and submit it to the concerned Chief of Province.
- Such provincial report is presented to the Provincial Assembly through the Chief Minister.





Where significant loss/damage to national property has occurred or may occur without immediate action, Auditor General may conduct an audit at any time and report to the President or concerned Chief of Province.





ALL REPORTS ISSUED UNDER THIS SECTION MUST BE MADE PUBLIC.

SUMMARY — SECTIONS 20 TO 24

SECTION 20: Audit of Local Level



- Every Rural Municipality and Municipality shall have its accounts audited by the Auditor General.
- Auditor General may issue a separate audit report for each local level.
- The concerned local level must submit the report to the Village Assembly or Municipal Assembly and have it discussed as required by law.



SECTION 21: Implementation of Audit Report



- Concerned responsible officials have a duty to implement the Auditor General's audit report.
- Auditor General may:
  - Obtain an implementation report;
  - Seek explanations from the audited body;
  - Set a deadline for implementation;
  - Conduct re-examination/ follow-up audits; and
  - Issue necessary directions to ensure improvements and implementation of recommendations.



SECTION 22: Action on Irregularities



- Concerned bodies must take legal action against errors and irregularities identified during audits of:
  - Government income and expenditure;
  - Government funds and amounts; and
  - Federal, Provincial or Local Government financial transactions.



SECTION 23: Format of Government Accounts



- Government offices must maintain accounts in the format approved by the Auditor General.
- Office of the Comptroller General is responsible for obtaining approval of the format and ensuring its implementation.





SECTION 24: Power to Issue Directions



- Auditor General may issue directions to concerned bodies regarding:
  - Accounting arrangements; and
  - Maintaining financial regularity.
- May issue directions to regulatory bodies concerning audit-related matters.
- May direct auditors appointed under the Act regarding:
  - Matters to be audited;
  - Matters to be included in audit reports; and
  - Matters identified in such reports.
- Concerned offices and officials have a legal duty to comply with the Auditor General's directions.



SUMMARY — SECTIONS 25 TO 30

25. POWER TO REQUIRE ACTION



- Auditor General may write to the concerned body to take legal/departmental action against officials or persons who:
  - Fail to have accounts audited as required;
  - Fail to provide financial statements/accounts to appointed auditors;
  - Fail to submit required accounting documents or information;
  - Fail to maintain accounts in the approved format;
  - Obstruct audit functions; or
  - Violate the Act or Rules.
- The concerned body must act without delay and inform the Office of the Auditor General of the action taken.



26. POWER TO GIVE REWARD



- Auditor General may provide prescribed rewards to employees who perform excellently.
- Applies to employees serving in the Federal and Provincial Offices of the Auditor General.
- Selection procedures are determined by the Auditor General.



27. DELEGATION OF AUTHORITY



- Auditor General may delegate powers to perform any of his/her functions under the Act to officials of the Office of the Auditor General.



28. POWER TO FRAME RULES



- Auditor General may, in consultation with the Government of Nepal, frame necessary Rules for implementing the Act.
- Rules become effective upon publication in the Nepal Gazette.



29. AUDITING STANDARDS & DIRECTIVES



- Auditor General may formulate and enforce auditing standards or directives.
- Standards are based on:
  - International auditing standards; and
  - Prevailing good practices.
- Objective: improve audit quality, objectivity, reliability and validity.

30. REPEAL & SAVING



- Audit Act, 2048 (1992) is repealed.
- Actions and decisions taken under the repealed Act are deemed valid under this Act.
- Pending audits under the 2048 Act at the commencement of this Act shall be conducted according to the new Audit Act.

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For notes, mail - govintamang2054@gmail.com